



MICROSOFT

OUTPERFORM

MSFT US ■ PRICE USD451.1* ■ TARGET PRICE **USD549** (UPSIDE 22%)

TARGET PRICE	EPS 06/27e	EPS 06/28e
unchanged	▼ -1%	non material

FQ4'26 Postview: Full stack AI strategy success underway

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Research Analysts & Publishing Entities

Stefan Slowinski

BNP Paribas London Branch
(+44) 203 430 8549
stefan.slowinski@uk.bnpparibas.com

Daniel Wang

BNP Paribas Securities Corp¹
+1 646 785 3326
daniel.wang@us.bnpparibas.com

Keeler Patton

BNP Paribas Securities Corp¹
(+1) 646 342 6138
keeler.patton@us.bnpparibas.com

Microsoft AI strategy maturing with success evidence across the stack in FQ4

Microsoft's FQ4'26 results addressed virtually every key investor concern heading into the print, in our view, driving a meaningful shift in sentiment around the stock. Beyond another quarter of Azure outperformance, the results demonstrated increasingly tangible AI monetization across both the software stack (M365 Copilot, GitHub Copilot) and AI infrastructure stack (Azure). Moreover, looking ahead, we see several upside drivers including broader adoption of usage-based pricing within M365 Copilot (potentially replication the monetization trajectory seen with GitHub), further E7 attach opportunities, higher GPU rental pricing, and OpenAI momentum accelerating in July (see [link](#)). Coupled with management's commitment to remain FCF positive in FY27 (implicitly placing a ceiling on near-term capex), we believe Microsoft has re-established itself as one of the clearest AI beneficiaries in the large-cap software space, with a credible path toward delivering material AI ROI.

We expect Azure acceleration to continue, with the potential for high 40% growth

Looking ahead, management's FQ1'27 Azure guidance of 45% further reinforces the company's acceleration trajectory, with growth potentially approaching high 40% by FQ2'27 as incremental AI capacity comes online and demand remains robust. Accordingly, we raise our FY27 Azure CCY estimate to ~44% (which assumes only modest growth in quarterly net new Azure revenue in H2 FY'27) vs. our prior estimate of ~41%. On capital deployment, while Microsoft maintained its CY26 cash capex outlook, we now forecast ~\$220bn of capex in FY27 (vs. \$260bn previously), partially driven by the accounting lease changes and commentary around remaining FCF positive.

Reiterate Outperform and \$549 TP

We make modest adjustments to our EPS estimates to account for a slightly higher tax rate and incorporate management commentary around FY27 operating margins. We maintain our \$549 TP and value Microsoft on a SOTP using a 25x FY28 P/E and incorporating its stake in OpenAI, and reiterate our Outperform rating.

Microsoft (+)	MSFT US				Performance ⁽¹⁾	1w	1m	3m	12m
*Closing Price (30 July 2026)	USD451.1				Absolute(%)	0	6	(8)	(23)
Volume (USDm / EURm)	15,318.8 / 13,459.4				Rel. Software(%)	(1)	2	(6)	0
Market cap (USDbn / EURbn)	3,332.0 / 2,927.5				Rel. MSCI USA(%)	NC	NC	NC	NC
Free float (USDbn / EURbn)	3,329.3 / 2,925.2								
EV (USDbn / EURbn)	3,302.2 / 2,901.4								
Country / Sub Sector	USA / Software								
Financials	06/27e	06/28e	06/29e	06/30e	Valuation metrics	06/27e	06/28e	06/29e	06/30e
EPS, Adjusted (USD)	19.6	23.6	28.4	34.5	P/E (x)	23.0	19.1	15.9	13.1
EPS, Company (USD)	19.39	23.46	28.28	34.40	Net yield (%)	0.9	1.0	1.1	1.3
EPS - Bloomberg (USD)	19.5	23.0	27.3	32.3	FCF yield (%)	0.0	0.6	2.1	3.9
Net dividend (USD)	4.1	4.5	5.1	5.6	EV/Sales (x)	8.5	7.0	5.8	4.7
					EV/EBITDA (x)	14.0	11.0	8.7	6.9
Sales (USDm)	390,370	471,333	564,028	673,192	EV/EBITA (x)	18.0	15.0	12.4	10.1
EBITA, Adj. (USDm)	183,277	220,911	264,141	316,124	EV/CE (x)	5.5	4.3	3.6	3.0
Net profit, Adj.(USDm)	145,723	174,248	208,108	250,563					
ROCE (%)	24.3	23.2	22.9	23.6					
Net Debt/EBITDA, Adj. (x)	-	-	-	-					

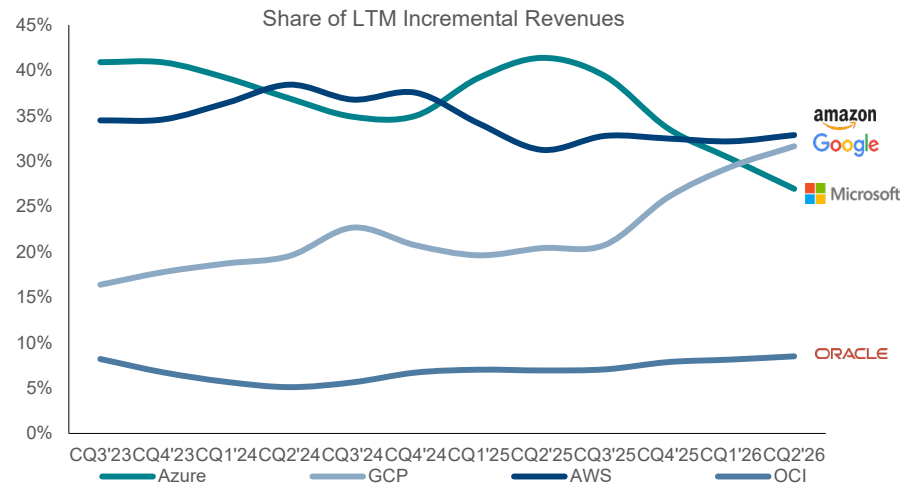
All valuation metrics based on adjusted figures

Source: BNP Paribas Equity Research (estimates), Bloomberg (consensus) (1) In listing currency, with dividend reinvested

See page 13 for Analyst Certification, Important Disclosures, Non-US Research Analyst disclosures and BNP Paribas Group Corporate Social Responsibility ("CSR") policies. BNP Paribas has adopted strict CSR policies that govern financing and investment in certain sectors. For time of dissemination, please refer to the [Cube](#). *Closing Price (30 July 2026). (1) FINRA member firm and broker-dealer registered with the U.S. Securities Exchange Commission

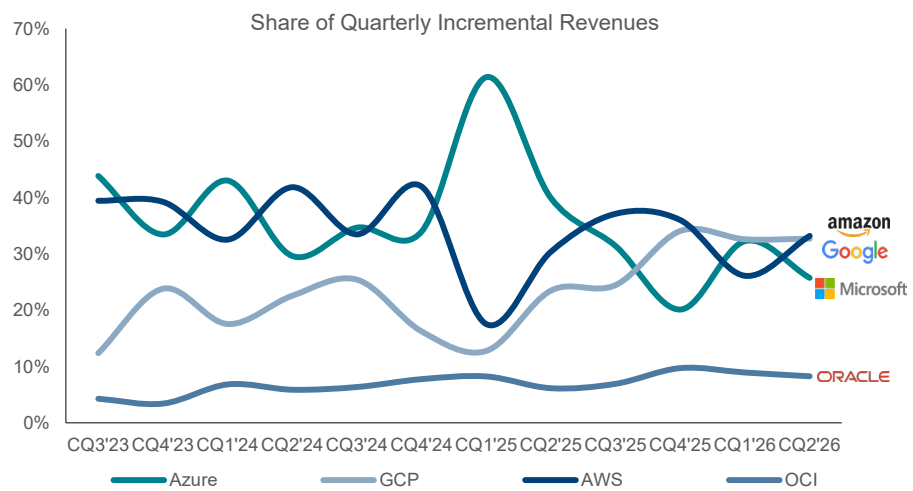
Hyperscaler Cloud Comparison

Figure 1: On an LTM basis, AWS and GCP lead in share of incremental cloud revenues added



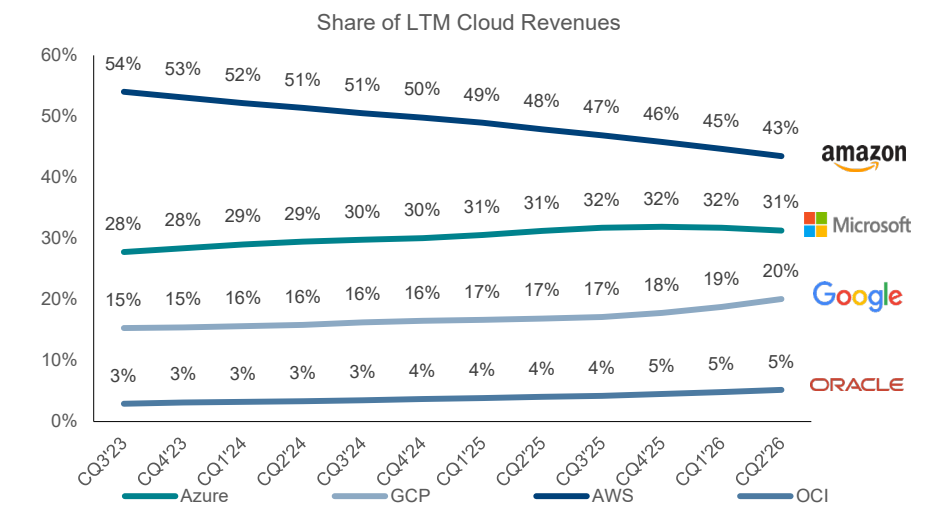
Source: Company reports, BNP Paribas Equity Research estimates

Figure 2: On a quarterly basis, AWS and GCP added ~\$4.5bn+ in incremental cloud revenue in Q2'26 vs. Azure at ~\$3.6bn



Source: Company reports, BNP Paribas Equity Research estimates

Figure 3: GCP and Oracle have been the biggest cloud share gainers over an LTM basis



Source: BNP Paribas Equity Research estimates

FQ4'26 results recap

What happened?

Microsoft delivered a strong FQ4'26 print that, in our view, **marked an important step for Microsoft in achieving an equilibrium state where revenue growth can ultimately outpace capex growth as we continue to see compelling evidence Microsoft's AI engine is gaining momentum across both Azure and Copilot.** Notably, we estimate GitHub Copilot was a meaningful contributor to the FQ4 Azure outperformance, with management highlighting that the transition toward consumption-based pricing drove GitHub Copilot revenues up 60%+ q.q. As Microsoft extends similar usage-based monetization across the broader Copilot portfolio (i.e. Copilot Cowork), we believe the company has a credible path toward sustaining Azure growth at 40%+ while M365 Commercial Cloud accelerates into the high-teens revenue growth. And with this acceleration occurring alongside management effectively placing a ceiling on capital spend (at least for now), **we believe the combination of accelerating AI monetization and greater discipline around capital deployment is precisely the framework investors had been hoping for.**

While the initial share price reaction was relatively muted prior the conference call, despite Azure growing 43% CCY (vs. 39-40% guidance / buy-side expectations of ~41%) and Copilot seats surpassing 30m (as we highlighted in our Microsoft NDR recap: [Microsoft NYC NDR feedback – Copilot Takes Center Stage with big Q4 likely](#)), the **stock rallied +9% following management's outlook, highlighted by 45% Azure outlook** for FQ1'27 (we outlined the potential for mid-40%+ Azure growth in our January deep dive: [The OpenAI Effect](#)).

And perhaps more importantly, **we believe management substantially reduced fears around a worst-case capital spending scenario.** While the company indicated FY27 would continue to 'grow,' **Microsoft expects to also remain FCF positive in FY27.** This effectively places an upper bound on the magnitude of capital investment for the upcoming fiscal year, where **we estimate Microsoft could generate ~\$220bn+ of operating cash flow (representing a practical 'ceiling' for cash capex).** Additionally, accounting changes associated with extending the useful life of datacenter buildings from 15 to 25 years will reclassify a portion of its finance leases (previously reflected in capex) into operating leases (not reflected in capex), potentially suggesting finance lease capex will be less material to the company's reported capex figures. In turn, this suggests FY27 capex is likely to land below our ~\$260bn all-in capex estimate.

Moreover, management guided for operating margin contraction of less than 1pt (broadly consistent with our expectations outlined [in our preview](#)), while also noting CY26 capex plans remain unchanged on an underlying basis (but are now expected to be \$175bn vs. \$190bn once reflecting the lease accounting changes). Finally, Microsoft provided additional insight into its OpenAI relationship in its 10-K, **noting OpenAI accounted for \$24.1bn of revenue in FY26** (or ~23% of Azure, by our estimate) and represented \$6bn of accounts receivable as of FY26 end.

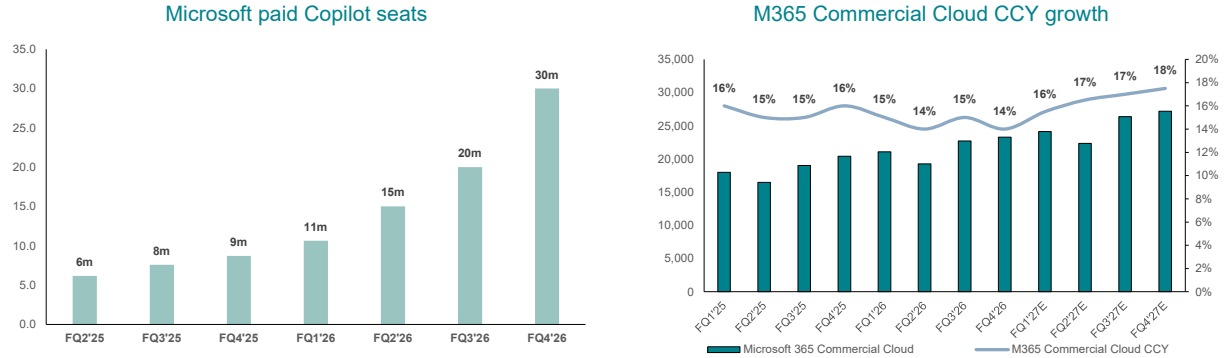
Figure 4: Azure grew 43% CCY vs. Cons of 39.5% in FQ4'26, with guidance of 45% in FQ1'27 (vs. Cons of 41%)

Quarterly Results	FQ4'26	FQ4'26	FQ4'26	FQ4'26	FQ4'26	FQ4'26	FQ1'27	FQ1'27
Consensus updated on:	Actual	Guide	Actual vs. High	Cons.	Actual vs. Cons.	BNPP	New Guide	Cons.
Group Highlights								
Group Revenue	90,007	86,700 - 87,800	2.5%	87,723	2.6%	88,136	89,850 - 90,950	89,999
Growth y.y. - Reported	18.0%	13.4% - 14.9%		14.8%	+3.2pp	15.3%	15.7% - 17.1%	15.9%
Growth y.y. CCY	17.0%	12.9% - 14.4%		13.5%	+3.5pp	14.7%		14.9%
Gross Income - GAAP	60,482	57,300 - 58,200	3.9%	58,361	3.6%	58,727		59,417
Gross Margin - GAAP	67.2%	66.1% - 66.3%	+0.9pp	66.5%	+0.7pp	66.6%		66.0%
Operating Income - GAAP	40,603	38,000 - 38,800	4.6%	39,037	4.0%	39,399	43,450 - 44,250	42,805
Operating Margin - GAAP	45.1%	43.8% - 44.2%	+0.9pp	44.5%	+0.6pp	44.7%	48.4% - 48.7%	47.6%
Net Income	35,766			31,712	12.8%	31,859		34,778
EPS - Dil (GAAP)	4.81			4.25	13.2%	4.28		4.65
CFO	55,441			49,263	12.5%	49,937		54,413
Capex	(35,802)			(35,223)	1.6%	(33,492)		(45,045)
FCF	19,639			14,692	33.7%	16,445		9,530
Azure Growth y.y. - CCY	43.0%	39 - 40%		39.5%	+3.5pp	41.2%	45.0%	41.0%
Segment - Productivity & Business Process								
Revenue Segment - Productivity & Business Process	37,847	37,000 - 37,300	1.5%	37,235	1.6%	37,311	36,700 - 37,000	36,865
Growth y.y. - Reported	14.3%	11.7% - 12.6%	+1.7pp	12.5%	+1.9pp	12.7%	11.1% - 12.1%	11.6%
Growth y.y. - CCY	14%	10.7% - 11.6%	+2.4pp		+14.0pp			
Segment - Intelligent Cloud								
Revenue Segment - Intelligent Cloud	39,306	37,950 - 38,250	2.8%	38,171	3.0%	38,565	40,950 - 41,250	39,961
Growth y.y. - Reported	31.6%	27.0% - 28.0%	+3.5pp	27.8%	+3.8pp	29.1%	32.5% - 33.5%	29.3%
Growth y.y. - CCY	31%	27.0% - 28.0%	+3.0pp		+31.0pp			
Segment - More Personal Computing								
Revenue Segment - More Personal Computing	12,854	11,750 - 12,250	4.9%	12,167	5.6%	12,260	12,200 - 12,700	13,046
Growth y.y. - Reported	(4.4%)	(12.6%) - (8.9%)	+4.5pp	(9.5%)	+5.1pp	(8.9%)	(11.3%) - (7.7%)	(5.2%)
Growth y.y. - CCY	(5%)	(13.6%) - (9.9%)	+4.9pp	-	(5.0pp)	(9.9%)		-

Source: BNP Paribas Equity Research estimates, Company reports, Bloomberg Consensus pre-Q

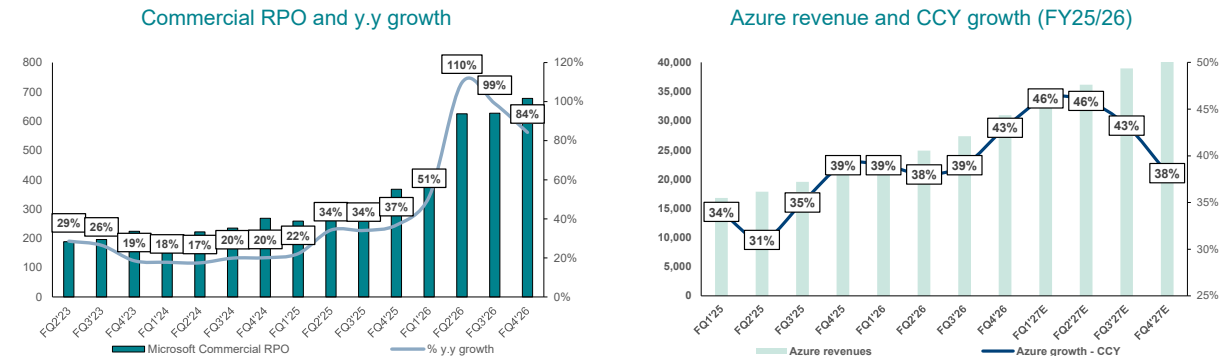
Key Charts for Microsoft

Figure 5: Microsoft paid Copilot seats grew to 30m+ in FQ4. We also expect accelerating M365 commercial cloud growth through FY27



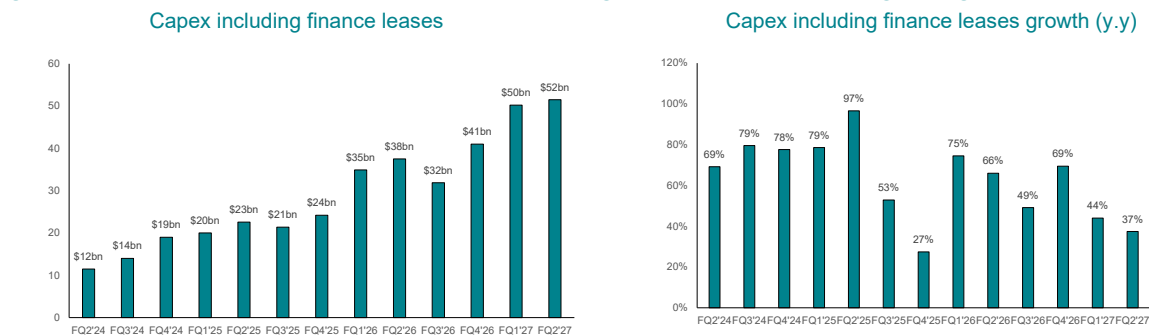
Source: Company reports, BNP Paribas Equity Research estimates

Figure 6: Azure grew 43% CCY in FQ4 with expectations for continued acceleration to 45% in FQ1'27. Commercial bookings grew 18% ex-OpenAI.



Source: Company reports, BNP Paribas Equity Research estimates

Figure 7: CY26 capex expected to be \$175bn (following recent lease accounting changes)

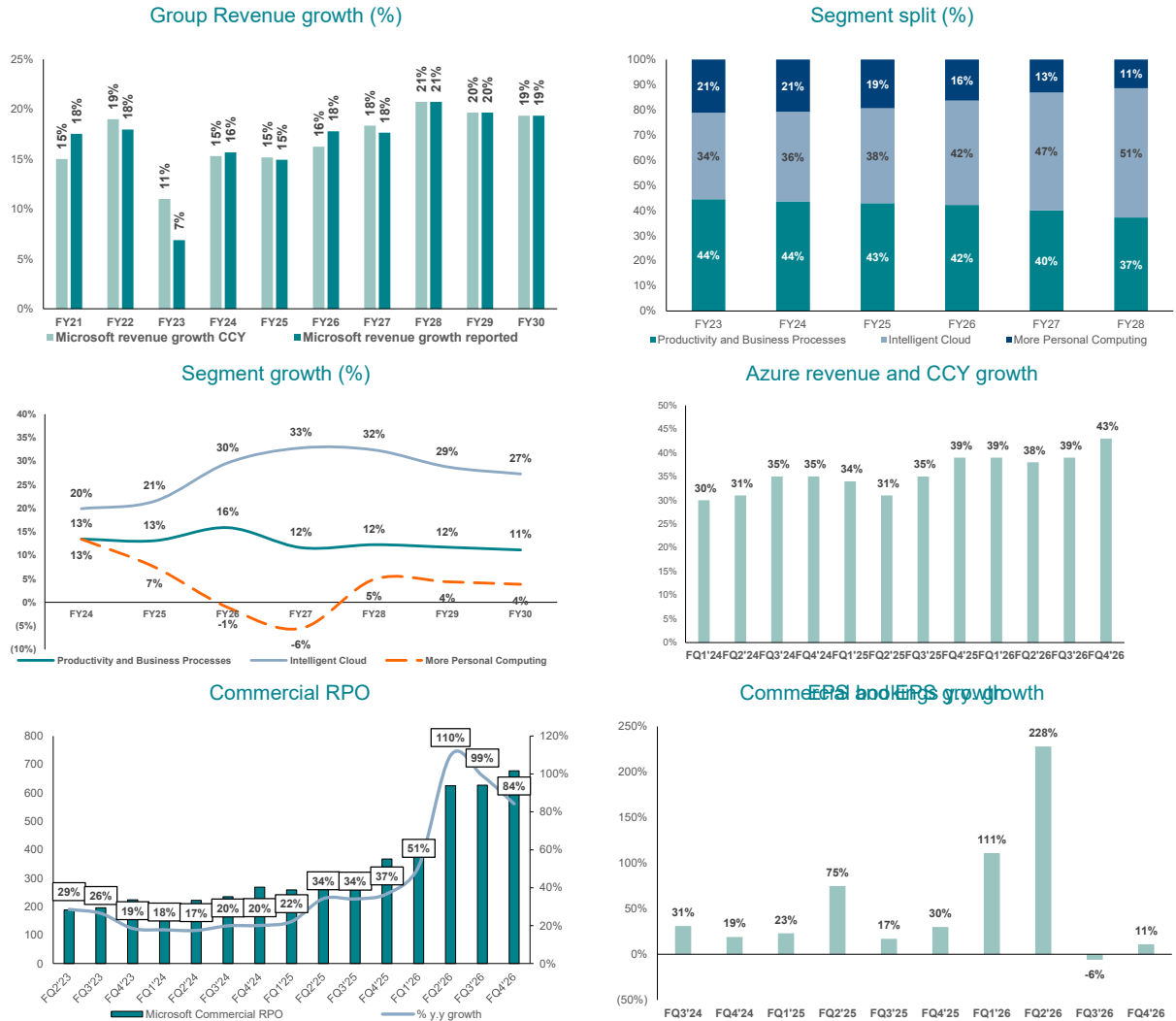


Source: Company reports, BNP Paribas Equity Research estimates

Microsoft Business Overview Charts

Figure 8: Group and Segment Growth drivers

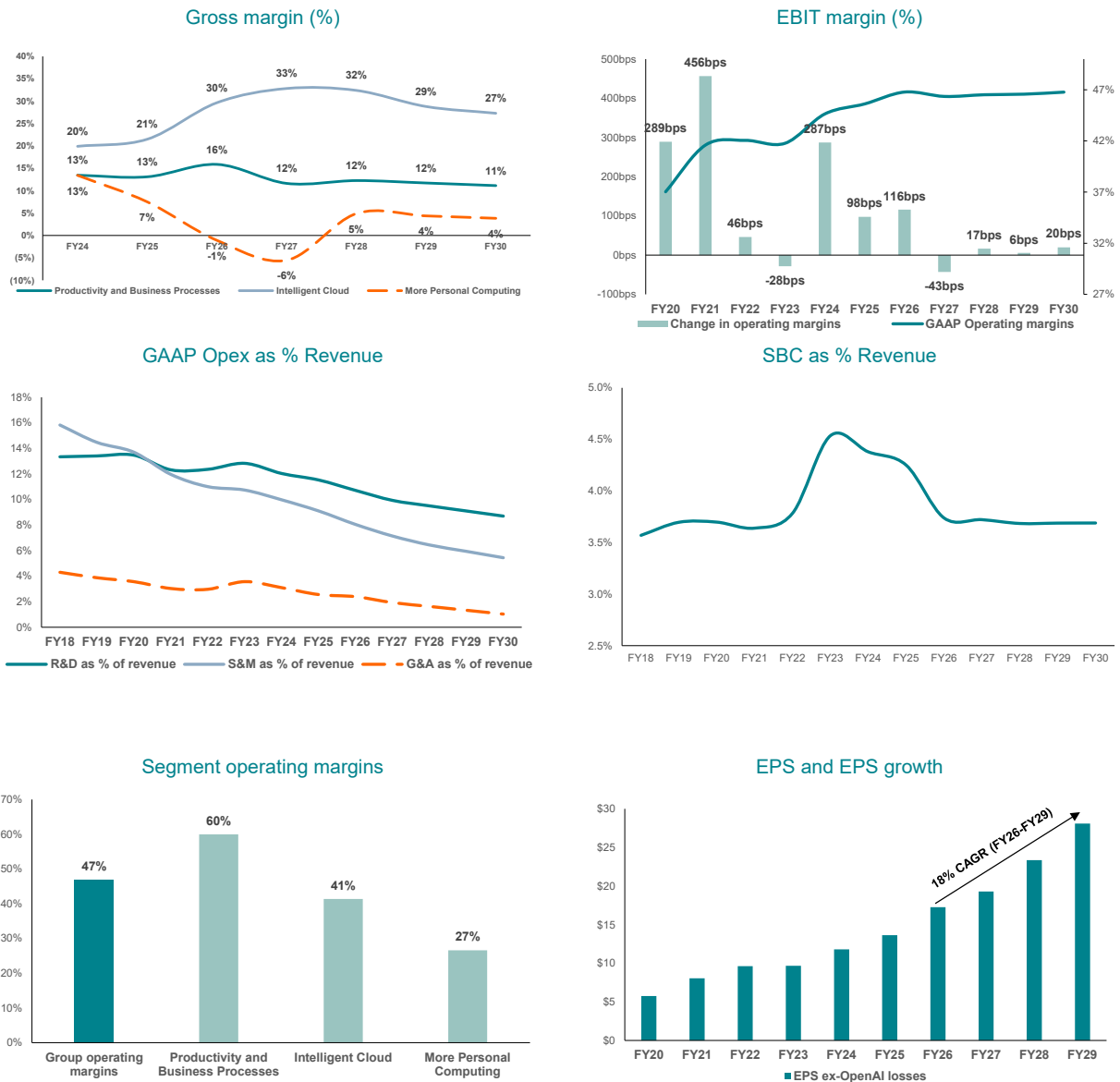
Key charts for Microsoft



Source: BNP Paribas Equity Research estimates

Figure 9: Profitability and EPS

Key charts for Microsoft



Source: BNP Paribas Equity Research estimates

Figure 10: Cashflow and returns

Key charts for Microsoft



Source: BNP Paribas Equity Research estimates

Estimate changes

Figure 11: We adjust our estimates following Microsoft's FQ4 results and now model 44% CCY Azure growth in FY27. We also reduce our capex outlook and increase our tax rate assumption, which modestly impacts our FY27 EPS estimates

BNP Paribas Old vs New estimates

BNP Paribas Old vs. New Overview		FY27	FY27	FY27	FY28	FY28	FY28	FY29	FY29	FY29
		Old	New	Chg.	Old	New	Chg.	Old	New	Chg.
Group Highlights										
Group Revenue	USDm	388,590	390,370	0.5%	467,674	471,333	0.8%	560,407	564,028	0.6%
Growth y.y. - CCY	%	17.8%	18.3%	+0.6pp	20.4%	20.7%	+0.4pp	19.8%	19.7%	(0.2pp)
Operating Income - GAAP	USDm	180,598	180,941	0.2%	216,375	219,253	1.3%	259,589	262,687	1.2%
Operating Margin - GAAP	%	46.5%	46.4%	(0.1pp)	46.3%	46.5%	+0.3pp	46.3%	46.6%	+0.3pp
Operating Income - BNPP adj. (EBITA)	USDm	182,889	183,277	0.2%	218,000	220,911	1.3%	261,014	264,141	1.2%
Net Income	USDm	145,595	143,854	(1.2%)	172,536	172,922	0.2%	207,188	206,945	(0.1%)
EPS - Dil (GAAP)	USD p/sh	19.65	19.39	(1.3%)	23.42	23.46	0.1%	28.34	28.28	(0.2%)
EPS - Dil (BNPP adj.)	USD p/sh	19.90	19.65	(1.3%)	23.60	23.64	0.1%	28.49	28.43	(0.2%)
CFO	USDm	216,941	215,105	(0.8%)	278,868	270,696	(2.9%)	351,068	335,417	(4.5%)
Capex	USDm	226,749	213,601	(5.8%)	256,387	249,877	(2.5%)	265,527	267,913	0.9%
FCF	USDm	(9,807)	1,504	(115.3%)	22,482	20,819	(7.4%)	85,541	67,504	(21.1%)
Azure Growth y.y. - CCY	%	41.3%	43.9%	+2.6pp	38.4%	39.0%	+0.6pp	34.2%	33.0%	(1.2pp)
Segment - Productivity & Business Process										
Revenue Segment - Productivity & Business Process	USDm	157,032	156,260	(0.5%)	176,379	175,398	(0.6%)	196,204	195,932	(0.1%)
Growth y.y. - Reported	%	12.6%	11.6%	(1.0pp)	12.3%	12.2%	(0.1pp)	11.2%	11.7%	+0.5pp
Growth y.y. - CCY	%	12.6%	12.4%	(0.2pp)	12.3%	12.2%	(0.1pp)	11.2%	11.7%	+0.5pp
M365 Commercial Products and Cloud Services	USDm	115,450	114,909	(0.5%)	131,678	131,220	(0.3%)	148,367	148,939	0.4%
Growth y.y. - Reported	%	17.8%	17.6%	(0.1pp)	20.4%	20.7%	+0.4pp	19.8%	19.7%	(0.2pp)
LinkedIn	USDm	21,151	21,006	(0.7%)	22,537	22,106	(1.9%)	23,790	23,044	(3.1%)
Growth y.y. - Reported	%	7.5%	6.0%	(1.5pp)	6.6%	5.2%	(1.3pp)	5.6%	4.2%	(1.3pp)
Segment - Intelligent Cloud										
Revenue Segment - Intelligent Cloud	USDm	180,369	183,046	1.5%	237,597	242,373	2.0%	308,155	312,194	1.3%
Growth y.y. - Reported	%	31.6%	32.8%	+1.2pp	31.7%	32.4%	+0.7pp	29.7%	28.8%	(0.9pp)
Growth y.y. - CCY	%	31.6%	33.5%	+1.9pp	31.7%	32.4%	+0.7pp	29.7%	28.8%	(0.9pp)
Server Products and Cloud Services	USDm	172,461	175,150	1.6%	229,848	234,635	2.1%	300,639	304,688	1.3%
Growth y.y. - Reported	%	33.9%	35.2%	+1.3pp	33.3%	34.0%	+0.7pp	30.8%	29.9%	(0.9pp)
Segment - More Personal Computing										
Revenue Segment - More Personal Computing	USDm	51,190	51,064	(0.2%)	53,699	53,562	(0.3%)	56,047	55,902	(0.3%)
Growth y.y. - Reported	%	(4.2%)	(5.5%)	(1.3pp)	4.9%	4.9%	(0.0pp)	4.4%	4.4%	(0.0pp)
Growth y.y. - CCY	%	(4.2%)	(5.0%)	(0.8pp)	4.9%	4.9%	(0.0pp)	4.4%	4.4%	(0.0pp)

Source: BNP Paribas Equity Research estimates

Valuation

Figure 12: We maintain our \$549 TP. We value MSFT using a 25x FY28 P/E multiple and embed Microsoft's stake in OpenAI

Microsoft valuation overview

Share price			Microsoft Valuation Overview							
Target price										
Up/(down)side										
			FY21	FY22	FY23	FY24	FY25	FY26e	FY27e	FY28e
Revenue - Group	USDm		168,088	198,270	211,915	245,122	281,724	331,839	390,370	471,333
Growth y.y. (ccy)	%					15.3%	15.2%	16.2%	18.3%	20.7%
EBIT - GAAP	USDm		69,916	83,383	88,523	109,433	128,528	155,237	180,941	219,253
Margin	%		41.6%	42.1%	41.8%	44.6%	45.6%	46.8%	46.4%	46.5%
EBITA - BNPP adj.	USDm		70,926	84,876	91,794	113,230	133,257	158,938	183,277	220,911
Margin	%		42.2%	42.8%	43.3%	46.2%	47.3%	47.9%	46.9%	46.9%
EPS - GAAP - dil.	USD p/sh		8.06	9.64	9.68	11.82	13.64	17.95	19.39	23.46
EPS - ex-OpenAI dil.	USD p/sh		8.06	9.64	9.68	11.82	14.13	17.28	19.39	23.46
EPS - BNPP adj. - dil.	USD p/sh		8.17	9.31	10.02	12.25	14.60	17.34	19.65	23.64
FCF - Co.	USDm		56,118	65,149	59,475	74,071	71,611	66,987	1,504	20,819
FCF - BNPP	USDm		56,118	65,149	59,475	74,071	71,611	66,987	1,504	20,819
# shares	m		7,608	7,541	7,472	7,459	7,465	7,454	7,418	7,373
Market capitalisation (accounts currency)	USDm		1,718,099	2,226,571	1,995,357	2,810,253	3,151,971	3,413,624	2,884,815	2,866,223
Adjusted net debt (restated cash)	USDm		(72,188)	(54,976)	(64,025)	(23,913)	(51,414)	(36,549)	(29,721)	(5,752)
Adjusted lease liability	USDm		-	-	-	-	-	-	-	-
Other liabilities and commitments	USDm		-	-	-	-	-	-	-	-
Revalued minority interests	USDm		-	-	-	-	-	-	-	-
(Assoc. + revalued investments)	USDm		-	-	-	-	-	-	-	-
Enterprise Value (EV)	USDm		1,645,911	2,171,595	1,931,332	2,786,340	3,100,557	3,377,075	2,855,095	2,860,472
Implied multiples at current share price										
EV/Sales	x		9.8x	11.0x	9.1x	11.4x	11.0x	10.2x	7.3x	6.1x
EV/EBITA - BNPP adj.	x		23.2x	25.6x	21.0x	24.6x	23.3x	21.2x	15.6x	12.9x
EV/EBIT - GAAP	x		24x	26x	22x	25x	24x	22x	16x	13x
P/E - BNPP adj.	x		55x	48x	45x	37x	31x	26x	23x	19x
P/E - GAAP	x		56x	47x	47x	38x	33x	25x	23x	19x
FCF yield - Co.	%		3.3%	2.9%	3.0%	2.6%	2.3%	2.0%	0.1%	0.7%
FCF yield - BNPP	%		3.3%	2.9%	3.0%	2.6%	2.3%	2.0%	0.1%	0.7%
EV/FCF	x		29x	33x	32x	38x	43x	50x	1,898x	137x
Implied multiples at undiscounted target price										
EV/Sales	x		26.0x	21.9x	20.3x	17.7x	15.3x	13.0x	11.0x	9.1x
EV/EBITA - BNPP adj.	x		62x	51x	47x	38x	32x	27x	23x	19x
EV/EBIT - GAAP	x		63x	52x	49x	40x	34x	28x	24x	20x
P/E - BNPP adj.	x		71x	63x	58x	48x	40x	34x	30x	25x
P/E - GAAP	x		73x	61x	60x	49x	43x	33x	30x	25x
FCF yield - Co.	%		1.3%	1.5%	1.4%	1.7%	1.6%	1.5%	0.0%	0.5%
FCF yield - BNPP	%		1.3%	1.5%	1.4%	1.7%	1.6%	1.5%	0.0%	0.5%
EV/FCF	x		78x	67x	72x	58x	60x	64x	2,861x	207x
Reference multiple: P/E (BNPP)										
Reference multiple: CY2027 P/E										
GAAP Price to Earnings Ratio										
Target Multiple Market Cap										
25x \$4,306,123										
No. Shares 7,373										
Implied TP \$584										
OpenAI Valuation										
Valuation \$852,000										
Microsoft's stake in OpenAI % Stake 25%										
OpenAI contribution to Microsoft Implied TP \$29										
Discount Factor = WACC % 10%										
Price per share (undiscounted) - P/E based USD \$584										
Price per share (discounted) - P/E based USD \$521										
(+ OpenAI Stake USD \$29										
Target Price (discounted) USD \$549										
Discount period Years 1.2										

Source: Company reports, BNP Paribas Equity Research estimates

Investment case, valuation and risks

Microsoft (Outperform, Target Price USD549)

Investment case

We see Microsoft as positioned to benefit from a leadership position in technologies with strong secular growth tailwinds, including Cloud Computing and Data Analytics (Azure, Synapse, Fabric), Software Development (GitHub, Visual Studio and the Windows Platform), Productivity (Office), Collaboration (Teams), Enterprise automation (Dynamics and Power Platform), Cyber Security, Advertising (Netflix and OpenAI partnerships, and own services like LinkedIn and Bing), and Gaming (Xbox and Activision). Microsoft is also now leveraging Generative AI across its products, which we believe will drive increased usage and ARPU increases. The company's OpenAI partnership will also likely help drive revenue growth acceleration. We also see Microsoft proactively managing its cost structure, despite accelerating depreciation costs, helping maintain margins at a high level. In addition, the company's communication is amongst the best in Big Tech, providing investors with a clearer understanding of investment priorities and shareholder return visibility.

Valuation methodology

We use a 25x NTM P/E multiple (using ex OpenAI gains and losses earnings) to value Microsoft, based on our FY28 EPS estimates, discounted back, and we also add value for Microsoft's stake in OpenAI.

Risks

To the upside:

Faster than expected uptake for Microsoft's Co-pilot would be a positive catalyst for the stock. Microsoft Azure's growth and market share gain could exceed our expectations, driving higher than expected revenue growth. Similarly, any of Dynamics, Office 365, Gaming, Devices, LinkedIn or Search Advertising could exceed our expectations in a given year or over a multi-year period. Greater market confidence around OpenAI, and OpenAI's ability to raise capital and achieve FCF break-even, would also help confidence.

To the downside:

The inability to meet demand, including difficulty accessing GPUs, may negatively impact Azure growth. The dependency on OpenAI for its GPT model also creates a strategic risk, while the increased dependence on Generative AI for growth also creates risk as it is still an unproven technology in the enterprise. Cyclical weakness in core businesses, such as Windows, could last longer than expected, weighing on growth and driving valuation pressure. Increasing investor concern around SaaS business models and headcount growth dependence is also a risk. Regulatory risk from competition concerns over hyperscalers' dominance of cloud workloads could also factor. Lastly the need to continuously innovate in a highly competitive market could weigh on long term profitability.

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Stefan Slowinski BNP Paribas London
Branch

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Amazon	AMZN US	2; 3; 4; 6; 7; 8; 10
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Autodesk Inc	ADSK US	2; 3; 4; 7; 8; 9; 10
Bentley Systems Inc	BSY US	/
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Cloudflare Inc	NET US	/
CoreWeave	CRWV US	/
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Datadog Inc	DDOG US	/
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HubSpot	HUBS US	/
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ESG Average: A company rated as ESG Average may have strong or poor performance on an individual ESG topic, but overall has an average exposure to ESG risks and opportunities.

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Ratings	Stocks coverage		Investment Banking Services Within the previous 12 months	
	Counts	%*	Counts	%
Outperform (Buy)	698	51	168	24
Neutral (Hold)	485	35	107	22
Underperform (Sell)	194	14	39	20

* Please note that the percentages might not add up to 100% because of rounding.

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Price and Ratings Chart

Microsoft

Historical Closing Price & Target Price (closing price as of 30/07/2026)



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time)	Rating (1)	Target Price	Closing Price	Key Changes	Person(s) Involved
16 Jul. 2026 05:26	+	USD549.00	USD401.10	TP down	S. Slowinski, D. Wang, K. Patton
30 Apr. 2026 22:42	+	USD555.00	USD407.78	TP down	S. Slowinski, D. Wang, K. Patton
10 Apr. 2026 14:14	+	USD556.00	USD370.87	TP down	S. Slowinski, D. Wang, K. Patton
26 Jan. 2026 21:43	+	USD659.00	USD470.28	TP up	S. Slowinski, D. Wang, K. Patton
3 Nov. 2025 05:56	+	USD632.00	USD517.03	TP up	S. Slowinski, D. Wang, K. Patton
1 Aug. 2025 11:51	+	USD630.00	USD524.11	TP up	S. Slowinski, D. Wang, K. Patton
28 Jul. 2025 05:41	+	USD625.00	USD512.50	TP up	S. Slowinski, D. Wang, K. Patton
26 Jun. 2025 21:19	+	USD606.00	USD497.45	TP up	S. Slowinski, D. Wang, K. Patton
2 May 2025 06:12	+	USD500.00	USD435.28	TP up	S. Slowinski, D. Wang, K. Patton
17 Apr. 2025 05:55	+	USD483.00	USD367.78	TP down	S. Slowinski, D. Wang, K. Patton
31 Jul. 2024 11:50	+	USD500.00	USD418.35	TP down	S. Slowinski, K. Patton
22 Jul. 2024 06:23	+	USD525.00	USD442.94	TP up	S. Slowinski, K. Patton
2 May 2024 05:59	+	USD495.00	USD397.84	TP up	S. Slowinski, K. Patton, B. Castillo-Bernaus
31 Jan. 2024 14:22	+	USD485.00	USD397.58	TP up	S. Slowinski, L. Lu, K. Patton
18 Jan. 2024 05:11	+	USD471.00	USD389.47	Rating up, TP up	S. Slowinski, B. Castillo-Bernaus, L. Lu, K. Patton
27 Oct. 2023 17:21	=	USD350.00	USD329.81	TP up	S. Slowinski, L. Lu, K. Patton
14 Aug. 2023 06:04	=	USD325.00	USD324.04	TP down	S. Slowinski, L. Lu, K. Patton

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

Note:

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MICROSOFT (Outperform)

Price at 30 Jul. 26 / Target Price

Software - USA

USD451.1 / USD549 +22%

Company description

Microsoft Corporation is a technology company. It develops, licenses, and supports software products, services and devices. Products include operating systems; productivity applications; server applications; business solution applications; desktop and server management tools; software development tools; video games, and training. It also designs, manufactures, and sells devices, including PCs, tablets, gaming and entertainment consoles that integrate with its cloud-based offerings. It offers an array of services, including cloud-based solutions that provide customers with software, services, platforms, and content, and it provides solution support and consulting services.

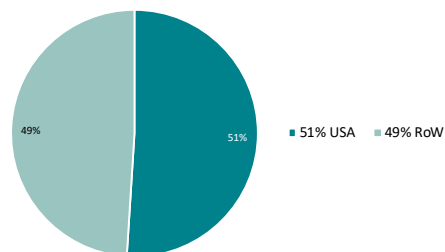
Management

Satya Nadella, CEO
Amy Hood, CFO
Scott Guthrie, Executive Vice President

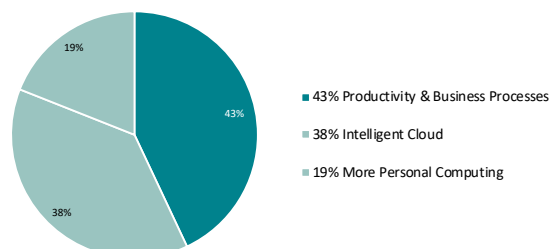
Ownership structure

Vanguard	8.1%
BlackRock	4.5%
Capital Group	4.0%
State Street Global Advisors	4.0%
Fidelity Management & Research	2.9%
T.Row e Price	2.4%
Geode Capital Management	1.6%
Norges Bank IM	1.0%
Other Shareholders	71.5%

Revenue by geography - FY24/25



Revenue by reported segment - FY24/25



Analyst

Stefan Slowinski (+44) 203 430 8549
stefan.slowinski@uk.bnpparibas.com

Peer group YTD performance

Stock	Price (30 Jul. 26)		YTD performance in EUR (%)	
			Abs.	Rel. Sector
Datadog (+)	USD	268.6	100.5	136
Nebius Group (=)	USD	188.4	82.7	115
Palo Alto (+)	USD	325.7	76.0	107
Navan (+)	USD	26.7	60.5	89
CrowdStrike (=)	USD	185.2	58.0	86
Cloudflare (-)	USD	283.4	41.5	67
Snowflake (+)	USD	298.1	33.1	57
Samsara (+)	USD	35.8	12.8	33
Zoom (-)	USD	92.3	10.5	30
Cadence Design (+)	USD	332.8	9.9	29
Dynatrace (=)	USD	44.1	4.5	23
Bentley Systems (+)	USD	35.2	0.2	18
Veeva Systems (+)	USD	201.6	(3.9)	13
CoreWeave (+)	USD	73.9	(12.4)	3
Autodesk (+)	USD	235.0	(14.5)	0.8
Microsoft (+)	USD	451.1	(16.4)	(1)
Synopsys, Inc. (-)	USD	372.3	(17.9)	(3)
Workday (+)	USD	158.1	(19.3)	(5)
IBM (-)	USD	221.7	(20.4)	(6)
PTC (=)	USD	136.3	(21.5)	(8)
ServiceNow (+)	USD	110.1	(22.0)	(8)
Adobe (=)	USD	247.9	(22.3)	(8)
Salesforce (+)	USD	180.7	(26.3)	(13)
Workiva (+)	USD	58.5	(26.5)	(13)
Zscaler (+)	USD	148.4	(29.5)	(17)
Vertex (+)	USD	12.6	(31.2)	(19)
Atlassian (+)	USD	98.1	(33.6)	(22)
HubSpot (=)	USD	233.1	(35.4)	(24)
Oracle (+)	USD	127.6	(37.2)	(26)
Intuit (=)	USD	315.5	(47.8)	(38)

Sector calendar



Price at 30 Jul. 26 / 12m Target Price
USD451.1 / USD549 +22%

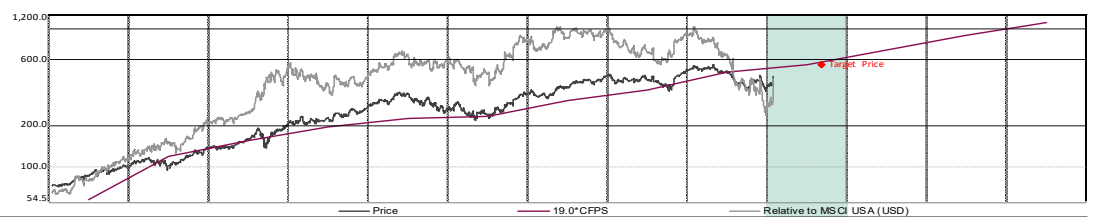
MICROSOFT (Outperform)

Refinitiv / Bloomberg: MSFT.O / MSFT.US

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Software - USA

Company Highlights			
USDm / EURm			
Enterprise value	3,302,235	/ 2,901,409	
Market capitalisation	3,331,955	/ 2,927,523	
Free float	3,329,290	/ 2,925,181	
3m average volume	15,319	/ 13,459	
Performance (%)			
	1m	3m	12m
Absolute	6%	(8%)	(23%)
Rel. Sector	2%	(6%)	0%
Rel. MSCI USA	NC	NC	NC
12m Hi/Lo (USD) : 542.1 -17% / 352.8 +28%			
CAGR			
	1992/2026	2026/2029	
EPS restated	NC	21%	
CFPS	NC	26%	



Price (yearly avg from Jun. 17 to Jun. 26)	62.3	85.9	112.9	157.4	227.7	297.0	268.0	378.2	424.0	459.5	451.1	451.1	451.1
PER SHARE DATA (USD)													
No of shares year end, basic, (m)	7 746.000	7 715.652	7 655.000	7 580.000	7 527.000	7 474.000	7 434.000	7 433.000	7 432.000	7 427.000	7 386.290	7 338.461	7 212.549
Avg no of shares, diluted, excl. treasury stocks (m)	7 837.750	7 771.583	7 752.000	7 681.500	7 607.750	7 540.500	7 472.250	7 458.500	7 465.000	7 453.500	7 417.695	7 373.036	7 255.300
EPS reported, Gaap	3.25	2.12	5.06	5.76	8.06	9.64	9.68	11.82	13.64	17.95	19.39	23.46	28.28
EPS company definition	3.25	2.12	5.06	5.76	8.06	9.64	9.68	11.82	13.64	17.95	19.39	23.46	28.28
EPS restated, fully diluted	3.33	4.09	5.19	5.87	8.17	9.31	10.02	12.25	14.60	17.34	19.65	23.63	28.43
% change	19.7%	22.8%	26.8%	13.1%	39.1%	14.0%	7.6%	22.2%	19.2%	18.8%	13.3%	20.3%	21.5%
Book value (BVPS) (a)	11.3	10.7	13.4	15.6	18.9	22.3	27.7	36.1	46.2	59.6	74.8	93.7	112.2
Net dividend	1.55	1.68	1.84	2.04	2.24	2.48	2.72	3.00	3.32	3.64	4.06	4.52	5.05
STOCKMARKET RATIOS													
P / E (P/EPS restated)	18.7x	21.0x	21.8x	26.8x	27.9x	31.9x	26.7x	30.9x	29.0x	26.5x	23.0x	19.1x	15.9x
P / E relative to MSCI USA	95%	95%	116%	135%	88%	159%	130%	120%	122%	93%	105%	100%	96%
P / CF	14.1x	28.5x	18.1x	19.5x	22.3x	25.3x	22.3x	24.2x	22.4x	18.2x	15.7x	12.2x	9.7x
FCF yield	6.5%	4.9%	4.4%	3.8%	3.3%	2.9%	3.0%	2.6%	2.3%	2.0%	0.0%	0.6%	2.1%
P / BVPS	5.50x	8.01x	8.45x	10.09x	12.07x	13.33x	9.66x	10.47x	9.17x	7.71x	6.03x	4.81x	3.85x
Net yield	2.5%	2.0%	1.6%	1.3%	1.0%	0.8%	1.0%	0.8%	0.8%	0.8%	0.9%	1.0%	1.1%
Payout	46.6%	40.9%	35.4%	34.7%	27.4%	26.8%	27.1%	24.5%	22.7%	21.0%	20.7%	19.1%	17.8%
EV / Sales	4.52x	5.48x	6.40x	7.87x	9.79x	10.95x	9.11x	11.37x	11.01x	10.18x	8.46x	7.01x	5.80x
EV / Restated EBITDA	11.7x	13.5x	14.9x	17.3x	20.3x	22.3x	18.7x	21.3x	19.2x	17.5x	14.0x	11.0x	8.7x
EV / Restated EBITA	14.4x	16.5x	18.2x	20.9x	23.2x	25.6x	21.0x	24.6x	23.3x	21.2x	18.0x	15.0x	12.4x
EV / NOPAT	16.9x	19.7x	20.3x	25.0x	26.9x	29.4x	26.0x	30.1x	28.2x	26.4x	22.5x	18.7x	15.5x
EV / OpFCF	12.9x	15.8x	17.3x	19.5x	23.6x	26.8x	23.7x	29.8x	33.3x	34.1x	85.6x	49.2x	26.6x
EV / Capital employed (incl. gross goodwill ill)	6.6x	8.8x	9.3x	12.1x	14.1x	13.5x	10.1x	9.1x	8.4x	7.0x	5.5x	4.3x	3.6x
ENTERPRISE VALUE (USDm)													
Market cap	483,073	661,810	866,486	1,198,072	1,718,099	2,226,571	1,995,357	2,810,253	3,151,971	3,413,624	3,331,955	3,310,380	3,284,690
+ Adjusted net debt	(46,787)	(57,528)	(61,641)	(73,200)	(72,188)	(54,976)	(64,025)	(23,913)	(51,414)	(36,549)	(29,721)	(5,752)	(10,768)
+ Other liabilities and commitments													
+ Revalued minority interests													
- Revalued investments	0	0	0	0	0	0	0	0	0	0	0	0	0
P & L HIGHLIGHTS (USDm)													
Sales	96,571	110,360	125,843	143,015	168,088	198,270	211,915	245,122	281,724	331,839	390,370	471,333	564,028
Restated EBITDA (b)	37,439	44,619	53,788	65,145	81,012	97,336	103,155	130,717	161,410	192,772	235,732	301,373	375,306
Depreciation	(7,078)	(8,061)	(9,782)	(11,196)	(10,086)	(12,460)	(11,361)	(17,487)	(28,153)	(33,834)	(52,455)	(80,462)	(111,166)
Restated EBITA (b)	30,361	36,558	44,006	53,949	70,926	84,876	91,794	113,230	133,257	158,938	183,277	220,911	264,141
Reported operating profit (loss)	29,025	35,058	42,959	52,959	69,916	83,383	88,523	109,433	128,528	155,237	180,941	219,253	262,687
Net financial income (charges)	0	(983)	81	45	(46)	(128)	528	(1,528)	(4,552)	6,312	(1,123)	(3,100)	(4,006)
Affiliates													
Other	0	2,399	648	32	1,232	461	260	(118)	(349)	4,385	0	0	0
Tax	(4,412)	(19,903)	(4,448)	(8,755)	(9,831)	(10,978)	(16,950)	(19,651)	(21,795)	(32,185)	(35,964)	(43,231)	(51,736)
Minorities													
Net attributable profit reported	24,613	16,571	39,240	44,281	61,271	72,738	72,361	88,136	101,832	133,749	143,854	172,922	206,945
Net attributable profit restated (c)	26,117	31,812	40,231	45,107	62,142	70,212	74,869	91,336	109,010	129,256	145,723	174,248	208,108
CASH FLOW HIGHLIGHTS (USDm)													
EBITDA (reported)	38,109	45,319	54,641	65,755	81,602	97,843	103,707	131,720	162,681	193,771	236,363	301,821	375,699
EBITDA adjustment (b)	(670)	(700)	(753)	(610)	(590)	(507)	(552)	(1,003)	(1,271)	(999)	(631)	(448)	(393)
Other items	(408)	(15,183)	2,755	9,424	10,279	7,222	8,889	5,436	1,635	26,993	15,138	17,835	21,199
Change in WCR	4,876	20,467	3,866	(1,483)	(936)	446	(2,388)	1,824	(5,350)	(4,895)	1,321	(2,181)	(5,347)
Operating cash flow	41,907	49,903	60,509	73,086	90,355	105,004	109,656	137,977	157,695	214,870	252,192	317,027	391,159
Capex	(8,129)	(11,632)	(13,925)	(15,441)	(20,622)	(23,886)	(28,107)	(44,477)	(64,551)	(115,948)	(213,601)	(249,877)	(267,913)
Operating free cash flow (OpFCF)	33,778	38,271	46,584	57,645	69,733	81,118	81,549	93,500	93,144	98,922	38,591	67,150	123,246
Net financial items + tax paid	(2,400)	(6,019)	(8,324)	(12,411)	(13,615)	(15,969)	(22,074)	(19,429)	(21,533)	(31,935)	(37,087)	(46,331)	(55,742)
Free cash flow	31,378	32,252	38,260	45,234	56,118	65,149	59,475	74,071	71,611	66,987	1,504	20,819	67,504
Net financial investments & acquisitions	(38,455)	5,669	(1,848)	4,459	(6,033)	(3,600)	8,543	(51,195)	(10,365)	(3,691)	40,000	10,000	0
Other	11,800	(4,958)	(707)	(2,855)	(10,842)	(31,631)	(20,029)	(28,734)	4,761	(30,549)	0	0	0
Capital increase (decrease)	(11,016)	(9,719)	(18,401)	(21,625)	(25,692)	(30,855)	(20,379)	(15,252)	(16,364)	(20,262)	(18,300)	(21,500)	(25,600)
Dividends paid	(11,845)	(12,699)	(13,811)	(15,137)	(16,521)	(18,135)	(19,800)	(21,771)	(24,082)	(26,445)	(30,032)	(33,288)	(36,887)
Increase (decrease) in net financial debt	18,138	(10,545)	(3,493)	(10,076)	2,970	19,072	(7,810)	42,881	(25,561)	13,960	6,828	23,969	(5,017)
Cash flow, group share	34,631	23,417	48,319	62,158	77,676	88,589	89,970	116,724	141,512	187,830	213,784	272,877	340,764
BALANCE SHEET HIGHLIGHTS (USDm)													
Net operating assets	75,517	79,882	93,632	103,293	128,314	166,368	187,239	301,369	371,902	475,513	593,692	751,001	905,902
WCR	(9,833)	(11,154)	(7,448)	(10,035)	(11,438)	(5,509)	4,694	4,307	(1,088)	10,074	8,753	10,934	16,281
Restated capital employed, incl. gross goodwill	65,684	68,728	86,184	93,258	116,876	160,859	191,933	305,676	370,814	485,587	602,444	761,935	922,182
Shareholders' funds, group share	87,711	82,718	102,330	118,304	141,988	166,542	206,223	268,477	343,479	442,387	552,416	687,937	853,202
Minorities	0	0	0	0	0	0	0	0	0	0	0	0	0
Provisions / Other liabilities	25,411	39,832	41,956	43,448	43,431	44,695	46,886	60,215	76,717	99,565	99,565	99,565	124,406
Net financial debt (cash)	(41,415)	(51,960)	(55,453)	(65,529)	(62,559)	(43,487)	(51,297)	(8,416)	(33,977)	(20,017)	(13,189)	10,780	5,764
FINANCIAL RATIOS (%)													
Sales (% change)	5.9%	14.3%	14.0%	13.6%	17.5%	18.0%	6.9%	15.7%	14.9%	17.8%	17.6%	20.7%	19.7%
Organic sales growth													
Restated EBITA (% change)	8.7%	20.4%	20.6%	22.3%	31.5%	19.7%	8.2%	23.4%	17.7%	19.3%	15.3%	20.5%	19.6%
Restated attributable net profit (% change)	16.8%	21.8%	26.5%	12.1%	37.8%	13.0%	6.6%	22.0%	19.4%	18.6%	12.7%	19.6%	19.4%
Personnel costs / Sales	21.0%	20.1%	18.4%	17.3%	15.0%	14.0%	14.3%	13.1%	11.7%	10.4%	9.1%	8.1%	7.3%
Restated EBITDA margin	38.8%	40.4%	42.8%	45.6%	48.2%	49.1%	48.7%	53.3%	57.3%	58.1%	60.4%	63.9%	66.5%
Restated EBITA margin	31.4%	33.1%	35.0%	37.7%	42.2%	42.8%	43.3%	46.2%	47.3%	47.9%	46.9%	46.9%	46.8%
Tax rate	15.2%	54.6%	10.2%	16.5%	13.8%	13.1%	19.0%	18.2%	17.6%	19.4%	20.0%	20.0%	20.0%
Net margin	27.0%	28.8%	32.0%	31.5%	37.0%	35.4%	35.3%	37.3%	38.7%	39.0%	37.3%	37.0%	36.9%
Capex / Sales	8.4%	10.5%	11.1%	10.8%	12.3%	12.0%	13.3%	18.1%	22.9%	34.9%	54.7%	53.0%	47.5%
OpFCF / Sales	35.0%	34.7%	37.0%	40.3%	41.5%	40.9%	38.5%	38.1%	33.1%	29.8%	9.9%	14.2%	21.9%
WCR / Sales	(10.2%)	(10.1%)	(5.9%)	(7.0%)	(6.8%)	(2.8%)	2.2%	1.8%	(0.4%)	3.0%	2.2%	2.3%	2.9%
Capital employed (excl. gdw./intangibles) / Sales	21.2%	22.6%	28.9%	30.0%	35.3%	41.4%	54.1%	64.8%	81.2%	104.7%	119.7%	133.4%	140.2%